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Branding effectiveness measurement in non-profit environment

Branding
effectiveness
measurement

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Abstract

Purpose – Literature suggests that branding effectiveness measures are present in for-profit sectors but lacks such comprehensive measures for the non-profit sector. Moreover, most of the branding effectiveness measures are either based on brand image approach or on brand identity approach. The purpose of this paper is, therefore, to propose an integrated branding effectiveness measurement metrics for non-profit organizations (NPOs).

Design/methodology/approach – Judgmental and simple random sampling techniques are used for data collection. The final sample comprises 150 respondents including donors, volunteers, beneficiaries and media who were administered interview schedules. Based on the ratings given by the respondents regarding branding effectiveness parameters of the five NPOs of a major city in Northern India, branding effectiveness score of each NPO is computed. The branding measures adopted by NPOs rated high are selected in the proposed brand effectiveness metrics.

Findings – The proposed metrics encapsulates brand identity parameters such as management profile, vision, culture, as well as brand image parameters such as brand awareness, brand understanding, brand association of the stakeholders, etc. The metrics also link the two through brand performance parameters.

Research limitations/implications – Multiple hierarchical structures of government infested with bureaucracy and lack of specialized staff with focused approach have reduced the effectiveness of their socio-development programs in emerging economies. This has led to an increase in number, diversity and impact of NPOs that compete for resource generation. Branding is a powerful tool for NPOs not only for resource generation but also for driving the social goals. The branding effectiveness metrics would help NPO managers reinforce the internal identity by increasing the cohesion and the capacity of the organization as well as create a strong brand image by garnering the support of multiple stakeholders through mutual trust thereby creating a greater social impact.

Originality/value – The uniqueness of the study stems from the fact that the proposed branding effectiveness measurement metrics in non-profit environment encapsulates brand image, brand identity and brand performance parameters.

Keywords Non-profit organisations, Brand management, Branding effectiveness measurement

Paper type Research paper

1. Introduction

Non-profit organizations (NPOs) have evolved as key players in the development of every sector of emerging economies. Areas such as education, skill development, healthcare, environment, art and culture witness the focus of NPOs. Rapid democratization, economic liberalization, support from for-profit sector, advent and adoption of new technologies have led to the growth in number and diversity of NPOs. Moreover, limited capacity of government to ensure social development, lack of well trained employees, multilayer hierarchical structure and multiple developmental schemes with a lack of focused approach have proved to be major reasons of rise in NPOs especially in developing economies. In developed economies, NPOs are no longer small-scale actors, simply “filling up” the vacuum left by the government. They have grown into powerful and impactful voices of the society and act as facilitators of social and political integration. One of the major reasons of growth of NPOs in developed economies such as USA is the rising trend of government outsourcing more of their development aid delivery to NGOs. This rise in the number of NPOs both in developing and developed economies and the increase in competition has made branding a crucial factor of differentiation (Michel and Rieunier, 2012).



Traditionally, branding was considered as an instrument of commercial organizations but now it is widely used in the non-profit sector too due to multiple reasons (Ritchie *et al.*, 1999). First, brands facilitate the development of mutual trust between the organization and its stakeholders. Second, NPOs have multiple stakeholders with different set of needs which can be met through a consistent brand approach. Third, strong brands develop goodwill that can protect them against “image spillover,” by preventing negative images of other similar organizations from spilling over to their own cause (Ritchie *et al.*, 1999). Moreover, branding helps non-profit brands to set themselves apart from the competition clutter when it comes to competing for funds and wooing the volunteers (Paco *et al.*, 2014). Branding is a powerful tool for NPOs not only for resource generation but also for driving the social goals.

Realizing the importance of brand management in the non-profit sector, NPO managers have started using brand management tools. On the basis of literature review on NPO branding, however, it is found that most of the NPOs managers take a narrow approach to brand management. They use it as merely a fundraising tool. Only a handful of large NPOs such as CRY, Helpage India, Red Cross, World Wildlife Fund, etc. use integrated brand management approach to achieve long-term social goals. Moreover, many NPO managers measure branding effectiveness either from customers'/competitors' perspective or from internal perspective only. NPO managers measure branding effectiveness in silos and measure effectiveness of branding activities/campaigns separately instead of measuring branding effectiveness of the organization as a whole. Though many researchers and brand managers in for-profit sector have tried to formulate integrated branding effectiveness approaches, the approach remains under-researched in the non-profit sector. Thus, there arises the need for development of an integrated branding effectiveness measurement method focusing on the effectiveness of internal branding in fortifying internal identity, cohesion and capacity and focusing on external branding in strengthening image and achieving social goals of the organization. In the study by Kylander and Stone (2012), brand is considered as an embodiment of the identity of the organization which evolves alongside the organization and externally reveal the image of the organization in the minds of organization's external stakeholders. The present study is proposed as an important step toward a new approach to measuring branding effectiveness in NPOs.

The next section of the paper represents a review of the approaches to branding effectiveness measures adopted by for-profit organizations as well as by NPOs. The subsequent section consists of identification of factors contributing to branding effectiveness based on secondary research, and validation of these factors through appropriate data collection and analysis. An integrated branding effectiveness model is thus proposed based on literature review and data analysis. Managerial implications and future scope of the study are discussed in the conclusion.

2. Background literature

A structured literature review was conducted to gain a holistic overview of the extant research on branding effectiveness in for-profit and non-profit sectors. This led to a categorization of major research streams into branding effectiveness of for-profit organizations and NPOs.

2.1 Measuring branding effectiveness of for-profit organizations

Some of the branding effectiveness measurement models/metrics which have gained prominence in the non-profit branding environment have been included in the study.

2.1.1 *Branding effectiveness measurement metrics based on the perspective of organization's external stakeholder(s).* Majority of the branding effectiveness measurement

models propounded by the authors (Aaker, 1996; Davis and Dunn, 2002; Munoz and Kumar, 2004) are based on an outside-in perspective by focusing on consumer's or/and competitors' perceptions of the brand. This is the brand image approach which focuses on the perception of external stakeholders.

Brand Equity Ten. Aaker (1996, pp. 276-277) considers analysis of a set of ten brand equity measurement variables as the basis of measuring branding effectiveness and termed these as "Brand Equity Ten" (refer Table I). These ten variables are classified under loyalty indicators: the extent to which people are loyal to a brand can be measured by the premium they are willing to pay for it and their level of satisfaction after using the product/service; brand perceived quality indicators: the extent to which a brand is considered to provide quality products and its popularity in relation to competitors; brand awareness indicators: the extent to which public is aware about the brand; brand association indicators: the extent to which consumers develop an association with the brand in terms of perceived value of the product, differentiation/position in relation to competing brands and the organization's level of concern for customers by being innovative and striving for high quality; and market behavior indicators: the level of performance of a brand as measured by market share (and/or sales) but sometimes market share can be a deceptive brand equity measure as it may increase because of reduction in prices or price promotions. Thus, the relative market price at which it is sold is an important measure of brand equity.

Brand effectiveness metrics. Brand effectiveness metrics uses contact branding concept which means the effectiveness of brand can be evaluated through brand touch points with the consumers. It comprises tactical and strategic metrics. Tactical metrics includes brand awareness, brand understanding, brand promises, brand significance, brand reliability, brand consideration, brand preference, brand impact on purchase decision, brand satisfaction and brand recommendation (Davis and Dunn, 2002, pp. 245-252). On the other hand, strategic metrics includes brand extension, customer acquisition, customer retention, brand purchase, price premium for the brand and brand commitment (Davis and Dunn, 2002, p. 244).

Brand effectiveness measures. Another set of branding effectiveness measures are identified and classified into six brand metrics (Lehmann *et al.*, 2008). The six key brand metrics evaluating brand performance include:

- (1) comprehension: consumer's understanding and feelings about the brand;
- (2) comparative advantage: the level of differentiation of the brand;
- (3) inter-personal relations: strength of inter-personal relations and social aspects;

Indicators	Brand equity measurement variables
Loyalty	Price premium Customer satisfaction
Brand leadership	Perceived quality Leadership/popularity
Brand awareness	Brand awareness
Brand association	Perceived value Brand uniqueness Association with the organization
Market behavior	Market share Market price and brand representation

Source: Adaptation from Aaker (1996, p. 280)

Table I.
Brand equity ten

- (4) history: past brand-related events;
- (5) preference: consumers' attitudes toward the brand; and
- (6) attachment: strength of consumers' connection to and interaction with the brand.

Integrated model of branding effectiveness assessment. Olga Alkanova proposed a multidimensional metrics (modification of branding model proposed by Davis and Dunn) for measuring branding effectiveness (refer Figure 1) which evaluates how the brand's representation to external stakeholders in terms of buyers' expectations and competitors' actions. It comprises four metrics classified on the basis of the marketing activities of the brand:

- (1) Perception metrics evaluates consumer behavior before buying through determining the extent of consumer awareness about the brand, consumers' understanding of the benefits of buying the brand and the possibility of repeat purchase of the product/service.
- (2) Behavioral metrics determines consumer behavior aspects mainly after the purchase, including brand preference, repeat purchases, loyalty and consumer's willingness to recommend the brand to others.
- (3) Market metrics evaluates the position of the brand in the market relative to competitors. The indicators of market metrics comprise market share, brand development index, brand distribution level.
- (4) Financial metrics determines the impact of brand investments on brand equity growth in relation with the contact branding activities. It uses indicators such as return on brand investment and the current value of the brand.

2.1.2 Branding effectiveness measurement metrics based on organization's internal stakeholders or/and organization's performance. Contrary to the measurement of external branding effectiveness, the measurement of internal branding effectiveness has received attention only by few authors (Burmam and Zeplin, 2005; LePla *et al.*, 2003).

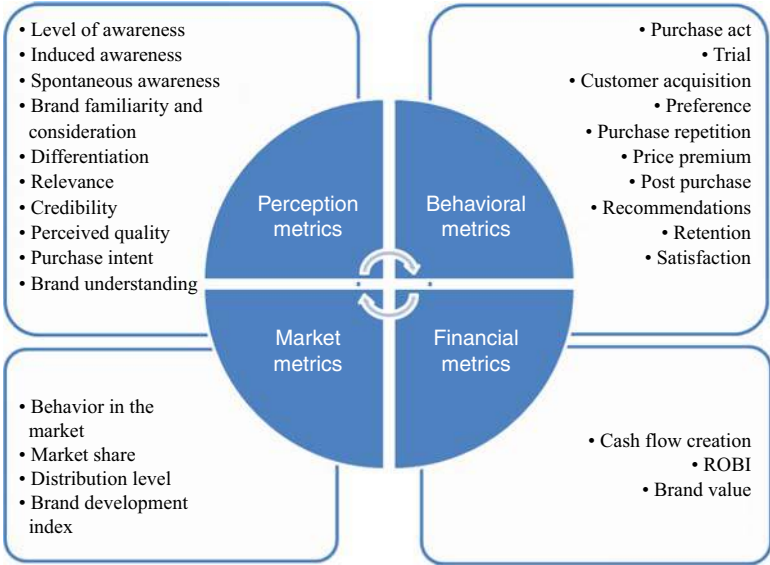


Figure 1.
Integrated model
of branding
effectiveness
assessment

Source: Alkanova (2010)

Components of internal brand strength. The holistic model of brand management considers vision, personality, values, organizational capabilities, heritage as the elements of internal brand strength which form the basis of branding effectiveness constructs (Burmann and Zeplin, 2005). It is based on the identity-based brand management approach according to which a brand needs to have a consistent and continuous identity. Two new behavioral constructs are developed to ensure consistency of brand identity. First is brand citizenship behavior that delineates what it means for employees to “live the brand” and the second construct is brand commitment which explains the psychological processes that lead employees to exhibit brand citizenship behavior.

Leadership-driven branding approach. LePla *et al.* (2003) in the book *Brand Driven* emphasize the responsibility of every leader at every level within the organization to create and maintain unbreakable customer relationships. According to the authors, branding effectiveness starts with leadership with a clear vision of the brand, and aligns the people and the processes to support that vision internally and externally through consistent messaging. They also underscore the importance of various tools that employees and stakeholders can use to create a great customers’ experience.

2.1.3 Branding effectiveness measurement metrics based on organization’s performance and internal as well as external stakeholder(s). Some researchers emphasized on the need for establishing a link between internal and external branding. The proposed models adopt a multidimensional approach (Sherrington, 2003; Munoz and Kumar, 2004; Chernatony, 2006; Rajagopal, 2008) yet these fail to capture many important internal branding factors.

Key performance indicators. The study considers brand market share, key performance indicators (KPIs) and multifactorial econometric models as a basis of measurement of branding effectiveness. These KPIs are coupled with the organization’s long- and short-term strategy and its vision (Sherrington, 2003, p. 220). This model assesses brand effectiveness continuously but the assessment is based only on one dominant indicator.

Branding evaluation metrics. A more comprehensive branding evaluation metrics (refer Figure 2) was propounded by Munoz and Kumar. It incorporates three metrics: perception metrics comprising awareness, familiarity and consideration; performance metrics which consists of loyalty and purchase decision and financial metrics which includes value creation (Munoz and Kumar, 2004). This brand evaluation metrics considers brand assessment as a continuous process and links brand management with business performance but fails to capture market-based indicators such as brand distribution level.

Brand effectiveness evaluation. Brand effectiveness can be assessed on the basis of business performance and customer actions (Chernatony *et al.*, 1998). The matrix consists of two columns for both internal and external evaluation of the brand parameters and five rows consisting five stages of brand creation and development (Chernatony, 2006) (refer Figure 3).

Brand metrics. The brand metrics conceptualizes the inter-dependence of “Five-A” factors which include awareness, acquaintance, allegiance, association and appraisal to measure the qualitative parameters of brand performance in a given market and time (Rajagopal, 2008). The metrics measures effectiveness of brand-building activity in reference to brand investment (financial inputs) and brand impact (growth outputs) in the business. Analysis of brand metrics will provide business growth and brand equity measures in relation to growth in stock values, sales, profits, price premiums and employee satisfaction.

2.2 Measuring branding effectiveness of non-profit organization

The branding concept is widely known in NPOs at a superficial level but associated brand management execution is lacking or difficult. This is mainly because NPOs lack associated brand management execution tools (Ito, 2013) and the branding measures seem to be borrowed from the for-profit sector (Stride and Lee, 2007). Few popular NPO branding effectiveness measures proposed by the researchers are included in the study.

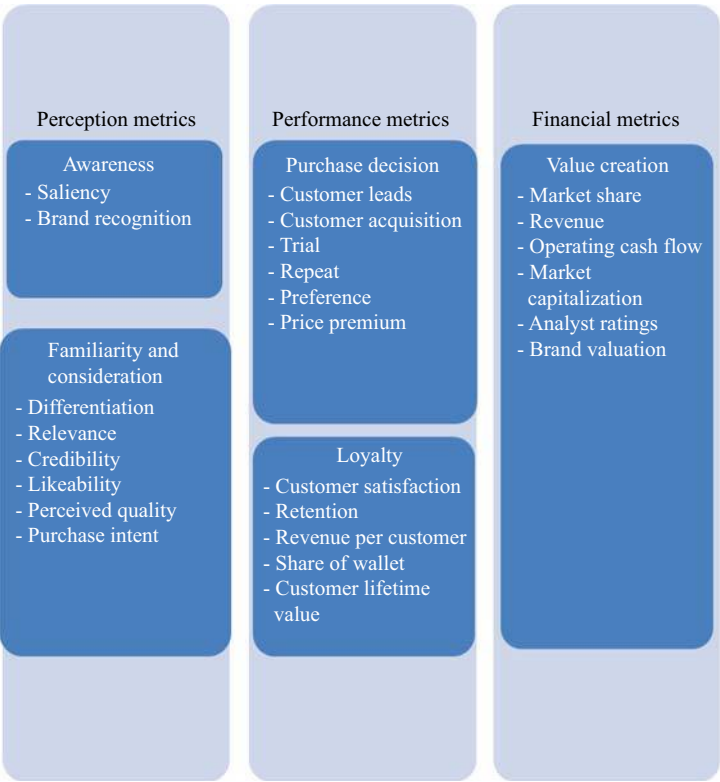


Figure 2.
Branding evaluation metrics

Source: Adaptation from Munoz and Kumar (2004)

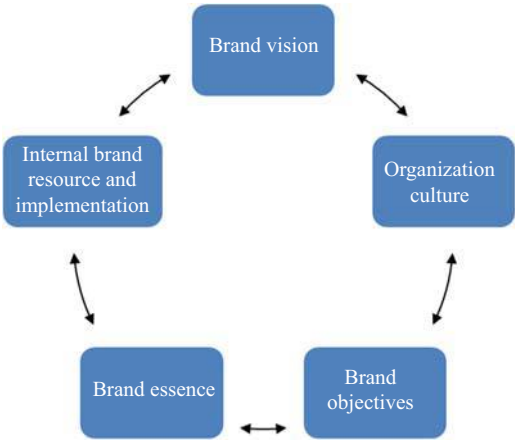


Figure 3.
Branding effectiveness evaluation

Source: Adaptation from Chernatony (2006)

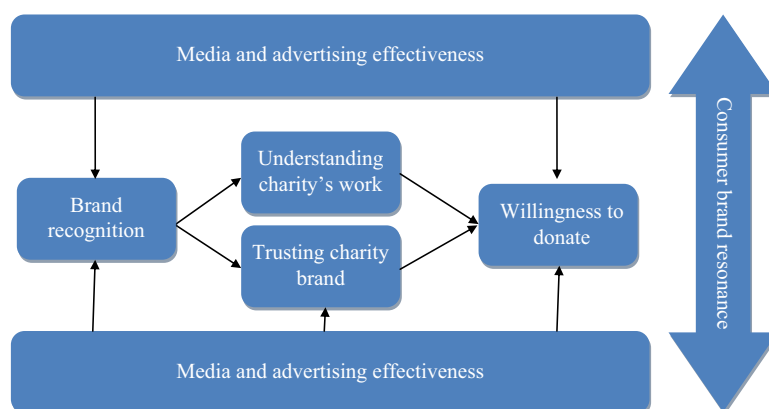
2.2.1 Branding effectiveness measurement metrics based on the perspective of organization's external stakeholder(s). These models attempt to measure the perception of organization's external stakeholders comprising donors, beneficiaries, volunteers and all those the NPO seeks to influence or assist.

Charity brand index. Charity brand index (refer Figure 4) measures branding attributes such as recognition, willingness to donate, level of understanding about the cause and the attitudes toward the cause and trust on the brand (Third Sector, 2013).

2.2.2 Branding effectiveness measurement metrics based on organization's performance and internal as well as external stakeholder(s). Non-profit Brand IDEA is a conceptual framework to measure branding effectiveness of NPOs, in which "IDEA" stands for integrity, democracy, ethics and affinity (Kylander and Stone, 2012). Brand IDEA considers brand to play an integral, broader and strategic role in achieving organization's core vision, as well as in expressing the organization's purposes, methods and values.

Brand integrity connects brand identity and image with the organization's mission, sharing a common purpose of organization's existence with all the stakeholders. Brand democracy ensures that organization trusts its members, employees and volunteers in their level of comprehension of organization's core identity, thus creating internal coherence. Brand ethics reflect the core values of the organization and align its internal identity and external image with organization's core values. Brand affinity implies that the brand focus on partnerships/collaborations, and lays importance to collective interests over individual interests.

Non-profit brands do not operate in silos, and evolve alongside the organization as it grows as described in role of brand cycle (refer Figure 5). Brand image approach focuses on the receivers' side of the brand and analyzes how external stakeholders perceive the brand. In contrast, brand identity approach focuses on the sender of the brand communication and analyzes how internal stakeholders establish and perceive the brand. Brand is an alignment between brand identity and brand image. When all the employees and volunteers of an organization embrace a common brand identity reinforced by visual identity symbols, culture and values, internally it creates organizational cohesion and externally it results in greater transparency and trust among multiple stakeholders including donors, beneficiaries and participants, etc. A cohesive organization is better apt in using organizational resources efficiently which in turn increases its capacity. NPOs, by leveraging the trust of beneficiaries and other stakeholders, can create a greater social



Source: Adaptation from Third Sector (2013)

Figure 4.
Charity brand index

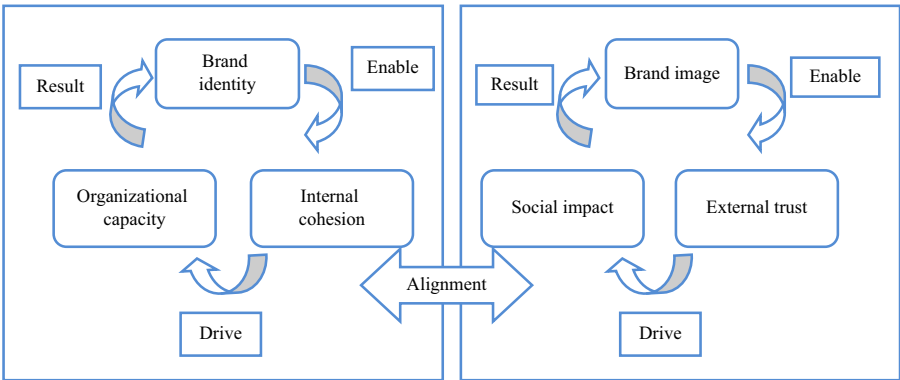


Figure 5.
Role of brand cycle

Source: Adaptation from Kylander and Stone (2012)

impact. Over a period of time, the reputation achieved in turn enhances brand identity as well as the brand image (refer Figure 5).

To summarise, the present considers that branding effectiveness can be established through the correspondence between brand identity and brand image. Based on the literature review, the internal brand factors contributing to branding effectiveness in NPOs considered in the current study include: visual identity symbols (Hankinson, 2000), organization vision (Bridson and Evans, 2004; Napoli, 2006), management/leadership (Burmahn and Zeplin, 2005; Bridson and Evans, 2004; Napoli, 2006), values (Burmahn and Zeplin, 2005; Voeth and Herbst, 2008) and work culture (Chernatony, 2006). The brand image parameters considered in the study include: brand awareness (Aaker, 1996; Munoz and Kumar, 2004), brand understanding (Lehmann *et al.*, 2008), perceived quality of services (Aaker, 1996; Munoz and Kumar, 2004), regard for the NPO (Munoz and Kumar, 2004), frequency to donate/volunteer (Third Sector, 2013), frequency of recommendation (Rajagopal, 2008), perceived branding and promotional events/history (Lehmann *et al.*, 2008), presence in media (Third Sector, 2013), inter-personal relations with management (Lehmann *et al.*, 2008), etc. Brand performance parameters needed to achieve the NPO's vision include frequency and effectiveness of branding and promotional activities (Parthasarathy, 2013), communication (Napoli, 2006; Parthasarathy, 2013; Sargeant, 2013), focus on quality of services/processes (Sargeant, 2013), intention to donate in future (Michel and Rieunier, 2012), updated website (Huang and Ku, 2016).

The importance of these parameters in branding effectiveness is assessed from the perspective of various stakeholders including donors, volunteers, beneficiaries, media and management.

3. Research objectives

Having reviewed frameworks and metrics measuring branding effectiveness by tracing its development in for-profit and non-profit sectors, the present paper analyzes the divergences in the existing frameworks to identify branding effectiveness parameters of NPOs. The brand parameters adopted by the NPOs ranked high in branding effectiveness are selected for the study and validation of the parameters is done by assessing the branding effectiveness of the NPOs from the perspective of donors, employees, volunteers, beneficiaries and media. The most effective metrics can only be developed if there is a link between brand identity and brand image. Branding effectiveness gives sustained competitive advantage to NPOs and helps in garnering support of multiple stakeholders

including employees, volunteers, donors, beneficiaries, media, government bodies, etc. Thus the paper aims to develop a holistic branding effectiveness measurement metrics focusing on internal branding that contributes in fortifying internal identity, cohesion and capacity of NPOs as well as emphasizing on external branding that helps in strengthening external image, increasing their impact and achieving long-term social goals of the organization.

4. Overview of the NPOs

For the purpose of the study, five NPOs of a major city in Northern India having diverse welfare missions are selected to assess their branding effectiveness:

- (1) NPO A was established in 2008 with the primary aim to provide health services to the economically deprived section of society. Some of the services of the NPO include ambulance service, Medicare services, city mental health clinic, help pharmacy (cost price medical store), among others.
- (2) NPO B was established in 2009 by a team of youngsters to educate, enrich and empower underprivileged children. The NPO runs a primary school wherein currently 220 children belonging to the marginalized section of the society are given free of cost, high quality education, free study material, one-time meal and vocational training.
- (3) NPO C was established in 2012 for the upliftment and development of women belonging to the marginalized section of the society. One of the main objectives of the organization is self-reliance of women and their economic independence through welfare activities. The organization runs craft centers, stitching courses and beautician courses in different geographic areas. The NPO also organizes awareness campaigns on social issues such as “self-protection and safety for women,” “gender sensitization,” etc.
- (4) NPO D was established in 2006 to implement sustainable and holistic solutions for the environmental and ecological needs of Agra. The NPO organizes seminars and workshops on different aspects of environment; in which environmentalists, engineers/technology experts, administrators/policy makers are invited as speakers and panelists. Besides, the society also organizes environment theme-based rallies, essay writing/drawing–painting competition for school students and tree plantation drives.
- (5) NPO E was started in 2001 to impart high-quality education to hearing-impaired children and provide guidance to their families. Currently, there are 70 students studying in the NGO's senior secondary school.

5. Methodology

5.1 Sampling

The study attempts to validate the branding effectiveness parameters identified through literature review by appropriate data collection and analysis.

Population of the study includes all donors, volunteers, beneficiaries, management/employees of NPOs in the city as well as media since the effectiveness of branding of NPOs is assessed through multiple stakeholders approach. Based on Godden's (2004) formula, the sample size (n) came out to be 160. Judgmental sampling and simple random sampling techniques are used. The sample is then divided into various stakeholders including donors, volunteers, beneficiaries, employees of all five NPOs and media (refer Table II). We tried to cover all types of media houses in the city including print media comprising local dailies and national newspaper and electronic media consisting of local cable TV and radio to get an overall media's perspective.

5.2 Data collection

The schedule comprising 30 items measuring branding effectiveness of five NPOs was administered, wherein the respondents were asked to rate their perceptions on various brand-related aspects of the NPOs. Responses were measured on a five-point Likert scale, ranging from negative to positive.

In the first stage of data collection, the data from management and employees were collected at the NPO office/premises. Then, data from beneficiaries and volunteers were obtained at the services delivery centers such as schools, dispensaries, etc. Once the list of donors was obtained from the management, data from donors were collected through interview schedules by visiting them in person at their residence or working place. Actual data were collected from a sample size of 150 because of reluctance of response of five donors and five volunteers. Secondary data were collected through journals, brochures, annual reports, reports published by marketing research agencies and NGO websites.

5.3 Data analysis

Data are analyzed using SPSS software through various statistical tools. Based on the analyses of the convergence and divergence in brand concept and branding effectiveness between for-profit and non-profit environments, the study adapts the branding effectiveness measurement metrics for for-profit environment and proposes a new metrics for branding effectiveness measurement in non-profit sector. Data analysis revolves around the following four key themes:

- (1) Identification of branding effectiveness parameters

On the basis of literature reviewed, 15 parameters are identified contributing to NPO branding effectiveness. The parameters are modified according to the type of respondent that is donors, volunteers, beneficiaries, media, etc. (refer Table III). Based on the ratings given by the respondents on these parameters, branding effectiveness score of the NPO is computed.

- (2) Branding effectiveness score and ranking of NPOs

Branding effectiveness of the five NPOs is computed by the mean of the ratings given by the different stakeholders including donors/volunteers, beneficiaries and media on the branding parameters (refer Table IV). Final ranking of the five NPOs (refer Table V) was then calculated by the weighted mean of the branding effectiveness scores of the NPOs computed from the perspective of donors and volunteers, beneficiaries and media. NPO A is ranked 1, NPO B is ranked 2, NPO D is ranked 3, NPO C is ranked 4 and NPO E is 5.

Table II.
Sample composition
and sample size

Sample composition Category of respondent	Sample size from NPOs with varied development focus					Total sample size
	Healthcare NPO A	Education NPO B	Woman welfare NPO C	Environment NPO D	Child welfare NPO E	
Donors	10	10	10	10	10	50
Volunteers	10	10	10	10	10	50
Beneficiaries	5	5	5	5	5	25
Employees/ management	5	5	5	5	5	25
Media	10					10
Total						160

Branding effectiveness measurement

S. No.	Donors/volunteers	Beneficiaries	Media
1	Visual identity symbols	Visual identity symbols	Visual identity symbols
2	Well-defined vision and objectives	Well-defined vision and objectives	Well-defined vision and objectives
3	Work culture	Work culture	Perceived work culture
4	Inter-personal relation with management	Inter-personal relation with management	Inter-personal relation with management
5	Frequency of branding and promotional events	Frequency of branding and promotional events	Frequency of branding and promotional events
6	Recognition of contributions	Takes feedback of the services delivered	Recognition of contribution of media
7	Media presence and effectiveness	Media presence and effectiveness	Frequency of coverage of activities by the media
8	Regard for the NPO	Regard for the NPO	Regard for the NPO
9	Perceived social responsibility	Perceived social responsibility	Perceived social responsibility
10	Impact of branding and promotional activities	Impact of branding and promotional activities	Impact of branding and promotional activities
11	Perceived quality of services/processes	Perceived quality of services/processes	Perceived quality of services/processes
12	Frequency of donation/volunteering	Years of association	Years of association
13	Frequency of recommendation to friends and family	Frequency of recommendation to friends and family	Frequency of recommendation to friends and family
14	Intention to donate/volunteer in future	Likelihood to avail services of the NPO in future	Likelihood to provide coverage to NPO events
15	Communication through website and other mediums	Communication of developmental programs	Communication through website and other mediums

Table III.
Branding effectiveness parameters

NPOs	Branding effectiveness (donors and volunteers)	Branding effectiveness (beneficiaries)	Branding effectiveness (media)	Overall branding effectiveness (weighted average)
A	3.47	3.65	3.78	3.53
B	3.37	3.53	4.51	3.49
C	3.22	2.95	3.75	3.21
D	3.25	3.49	2.40	3.23
E	3.01	3.11	2.54	2.99

Table IV.
Branding effectiveness scores of NPOs

Stakeholders NPOs	Donors and volunteers (A)	Beneficiaries (B)	Media (C)	Overall (weighted average of A, B and C)
A	1	1	2	1
B	2	2	1	2
C	4	5	3	4
D	3	3	5	3
E	5	4	4	5

Table V.
Ranking of NPOs from the perspective of stakeholders

(3) Branding and promotional measures by NPOs

In order to assess the gap between the investment done by the management in branding and promotion of the NPO and the branding effectiveness score obtained for that NPO (refer Figure 6 and Table IV), We collected data from the

employees/managers of the NPOs to assess branding and promotional measures taken by the NPO. It is found that amongst the five NPOs, out of the amount raised, the percentage spent annually on branding and promotion by the NPO is the highest for NPO C with the mean of 3.6 followed by NPO B and NPO D with the mean of 3.2 and 2, respectively then by NPO A with the mean of 1.6 and the lowest for NPO E with the mean of 1.4. This means that despite investments in branding, NPO C is not able to create desired brand impact whereas NPO A, NPO B and NPO D are able to achieve branding effectiveness.

Also it is found that promotional measures taken by the management of the NPO (computed by the mean of promotional measures such as use of events, association/networking, communication through letters/e-mailers, personal visit to donors, coverage in print and electronic media, presence in social media) are the highest for NPO B followed by E then by C and A and the lowest for D. However A, B and D are ranked high for branding effectiveness which suggests that B may have achieved high branding effectiveness because of promotional measures but A and C have achieved branding effectiveness through other internal and external branding measures other than promotional measures (refer Table VI).

From Table AII, it is evident that NPO A invests the maximum amount of resources in quality through training and development and in recognizing contribution of stakeholders. This could be a possible reason for its highest branding effectiveness amongst all NPOs. NPO B has the most well-defined vision and objectives and has the most friendly work culture amongst all. NPO C has the most informative and updated website but is average on other branding parameters. This could be the reason for NPO C ranked third on branding effectiveness. NPO D is rated highest in taking feedback of stakeholders and average on friendly work culture and NPO E is rated the least on all the parameters.

(4) Significance of differences between branding effectiveness scores of the five NPOs.

The cumulative branding effectiveness scores of the five NPOs are very close to each other (as evident from Table IV). Thus, it is important to assess whether the difference between the

Figure 6.
Percentage of amount raised spent on branding and promotion

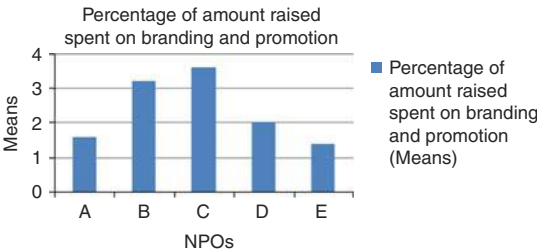


Table VI.
Internal and external branding measures taken by NPOs

NPOs	Well-defined vision and objectives	Informative and updated website	Focus on quality	Friendly work culture	Recognition of contributions of stakeholders	Frequency of taking feedbacks from stakeholders	Promotional measures
A	3.4	3.8	4.6	3.6	4.2	2.8	3.85
B	4.8	4.2	2.8	4	3.8	2.6	4.23
C	3	3.2	2.8	3.8	3.6	3	4.03
D	3.2	5	3.2	3.6	3.8	2.8	3.53
E	3.4	2.8	3.2	3.2	3.6	2.6	4.22

rankings of the five NPOs has occurred by chance or there exists a significant difference between the five groups because if the difference is not significant then it can be implied that branding parameters adopted by various NPOs does not actually contribute in the brand effectiveness. Since one of the assumption of using ANOVA (parametric test): “normality of the population distribution” is not fulfilled by the sample, Kruskal–Wallis test is employed to test the significance of difference between the NPOs. Since the obtained value of 27.59, at 4 degrees of freedom (refer Tables AI and AII in the Appendix) was higher than the critical value of 9.49, it can be concluded that the differences in rating between the five groups are significant.

6. Findings and discussion

6.1 Identification of branding effectiveness parameters

Since NPO A, NPO B and NPO D are ranked first, second and third, respectively amongst the five NPOs included in the study, therefore, branding effectiveness parameters adopted by these three NPOs are included in the proposed branding effectiveness metrics. These parameters are high outreach, direct citizen connect as most of the donors/volunteers of the NPO are beneficiaries also. Profile of the management committee of the NPO is another important factor as high profile management are able to support the NPO financially and also garner the support of other people in their network easily. High transparency in financials, focus on training and development to ensure quality, friendly work culture and recognition of contributions of stakeholders are some important branding parameters. High print, electronic and social media presence, well-defined and promoted vision and objectives, visual identity symbols, high frequency of branding and promotional activities, level of the programs/activities of the NPO and updated and exhaustive website are other important parameters adopted by these NPOs.

6.2 Gap analysis between branding effectiveness of an NPO and the branding and promotional measures by the management of the NPO

Though NPOs E and C take considerable branding and promotion measures, they are ranked fourth and fifth in branding effectiveness. Thus, there is a gap between the efforts taken by the management and branding effectiveness score of the two NPOs. The possible reasons of this gap can be explained as:

- NPO C

Most of the donors and supporters are non-working women with no financial independence, therefore, they are not able to contribute much to the cause financially. The NPO relies on print and electronic media and has minimal presence on social media and also lacks an updated website. The services provided by the NPO generally include one-day awareness sessions and two-to-three-month vocational training programs. Due to this temporary nature of services of the NPO, most of the beneficiaries are temporarily associated with the NPO and hence rated it low. Moreover, the quality of services provided is low as compared to that of other NPOs.

- NPO E

First, there is a lack of transparency regarding the financial matters of NPO and all financial data are managed by a single person. Second, the website of the NPO is not updated and social media presence of the NPO is scant. Third, frequency of requests for donations is quite high which creates negative image in the minds of donors. The ranking of the NPO from beneficiaries' perspective is low because beneficiaries are special children who are not able to understand and answer all the questions.

6.3 Branding effectiveness measurement metrics

Considering the multiplicity of stakeholders in non-profit brand environment as well as broader and diverse objectives which the NPOs have, the study proposes brand metrics for evaluating the effectiveness of non-profit brand. The brand effectiveness measurement metrics proposed in the study includes three major constructs: brand identity, brand performance and brand image (refer Figure 7). These three constructs constitute various components that can be assessed to measure branding effectiveness of an NPO (refer Table VII).

6.4 Brand identity

The organization should strive to establish brand identity and clearly articulate it internally to ensure consistency of the brand identity across the organization. Internal factors such as vision, shared values, leadership, etc. facilitate the construction of brand identity. NPOs should develop and promote work culture that reflects their mission and approach. They should make use of brand symbols to create and reinforce the visual identity. Visual elements such as logo, website, graphics should speak about the organization culture and identity brand (refer Figure 7 and Table VII):

- Brand image

Once all the internal constituents of the organization share the same brand identity, it should be consistently yet distinctively communicated to all external stakeholders. Brand image is the image of the brand in the minds of stakeholders such as donors, volunteers, beneficiaries, media which is manifested in their level of brand familiarity, brand understanding, level of association and loyalty toward the brand, their perception regarding the quality of services, regard for the NPO. This is reflected in the level of financial and non-financial support extended by them, awards and accolades given to the NPO, amongst others. The perceived level of differentiation achieved by the NPO is another important component of brand image brand (refer Figure 7 and Table VII).
- Brand performance

A measurement metrics that aligns internal identity and external image better equips the organization to manage the brand. This alignment can be brought about by the branding efforts and performance of the organization. Brand performance is rooted in brand identity parameters such as skills, vision and leadership qualities of the management, communication structure of the organization, available financial and human resources, processes, quality control techniques, etc. Thus, establishing internal brand identity is a precursor to brand performance because strong brand identity brings about cohesion in the organization which enables efficient utilization of existing resources and acquisition of new ones, thereby enhancing the capacity, performance of the organization. Externally, the strong brand performance is able to create high level of trust with the stakeholders, garner greater support of donors, volunteers, media, etc. leading to sustainable growth and increased social impact of the organization. Over a period of time, the resulting reputation in turn contributes in improving the identity and image of the brand (refer Figure 7 and Table VII).

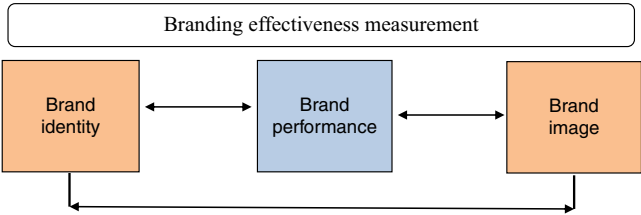


Figure 7. Brand effectiveness measurement

Branding effectiveness measurement

Brand identity	Branding effectiveness measurement metrics	
	Brand performance	Brand image
Vision	Branding and promotion	Brand awareness
Management qualifications/experience	Presence in media	Name and logo
Leadership	Promotion of brand symbols	Brand knowledge/comprehension
Profile of founding/core members	Frequency of website updates	Vision, mission and objectives
	Frequency of branding and promotional activities	Brand recall
		Social media exposure
		Growth in website traffic
		Frequency of branding and promotional activities
Work culture	Quality control resources	Brand perceived quality
Shared vision and objectives	Quality of processes/services/developmental programs	Perceived quality of processes/services/developmental programs
Recognition of contributions of employees/volunteers	Brand association	Brand association
Transparency	Recognition of contributions of donors/volunteers/media	Level of support
Focus on quality		Social media engagement
Internal communication		Perceived regard for NPO
Values	Brand loyalty	Brand loyalty
Visual identity symbols	Frequency of communication	Frequency to donate/volunteer
Logo and other brand symbols	Frequency of taking feedbacks	-Perceived social responsibility/trust
	Testimonials	Recommendation to friends and family
	Overall performance	Overall satisfaction
	Transparency in sharing financial information	Testimonials
	Financials	Financials/resources
	Direct/indirect income	Willingness of donors and volunteers to donate/volunteer
	(Subscriptions/donations/sale proceeds/investment income)	
	Public and private funding	
	Assets	
	Membership growth	
	Overhead cost	
	Spending on promotion	
	Social behavior	Social behavior
	No. of beneficiaries served	awards and accolades
	No. of donors/volunteers	Analyst ratings
	Sustainability of impact	Perceived social impact
	No. of projects/programs launched	
	Differentiation	Differentiation
	Outreach	Word of mouth publicity
	Direct citizen connect	

Table VII.
Brand effectiveness measurement metrics

6.5 Practical implications

The unique characteristics of non-profit environment necessitate the need for branding effectiveness measures different from those in for-profit environment. Also it is important to understand that “branding” in NPOs should not be used as hard promotion rather as a tool to reinforce internal identity, driving long-term social goals and creating a strong brand image by addressing the challenges of non-profit environment.

The proposed branding effectiveness measurement metrics establishes correspondence between brand identity, brand image and brand performance. It would help management in garnering support of different stakeholders by assessing their needs and meeting them consistently yet distinctively. The metrics would enable managers to control the switching or lapsing behavior of donors and volunteers through effective branding. Thus, the proposed metrics would significantly increase the effectiveness of NPOs.

6.6 Research limitations and future research directions

While this research has produced some interesting findings but it is an initial piece of research in the area of integrated brand effectiveness measurement. The current research did not consider the perception of government for measuring the branding effectiveness of the NPOs. Also the research did not quantify the degree of importance of different parameters in measuring branding effectiveness.

This branding effectiveness metrics can serve as a base for future quantitative research works for quantifying the degree of importance of various branding effectiveness parameters in non-profit environment. Similar study could be conducted in other cities with larger NPOs to find how the results vary with the change in economic reality. Another challenging area of research could be the implementation of branding effectiveness metrics amidst various challenges such as lack of adequate financial resources, lack of brand management expertise, justification of branding to the stakeholders, amongst others.

6.7 Recommendations and suggestions

Organizations should endeavor to comprehend from which aspects of the organization the stakeholders such as donors, volunteers, media, etc., derive the most value and then tailor their measures to satisfy their needs. The management should clearly articulate the brand identity of the organization and communicate it with external stakeholders distinctively yet consistently. In order to attract and retain employees, volunteers and donors, organizations should focus on quality control measures, create a pleasant work culture, recognize the contributions made by them and ensure transparency in utilization of funds to build credibility and to stand out from the competition clutter, the NPO management should focus on establishing direct citizen connect, add high profile members with good social network.

7. Conclusion

Lack of research in branding effectiveness in the non-profit sector, and use of branding merely as a fundraising tool by the NPO managers led to this study. The major issues discussed in the study include identification and verification of parameters for branding effectiveness measurement of NPOs and development of branding effectiveness measurement metrics.

Five NPOS of a major city in Northern India were selected for the study and were ranked according to mean branding effectiveness score, arrived by computing the mean of the ratings given by the respondents on branding parameters on five-point Likert scale items. Parameters such as sustainable social impact, direct citizen connect, profile of the founders/members, focus on quality, amongst others are identified as important contributors to branding effectiveness. The metrics encapsulates brand identity parameters such as management, leadership, vision, culture as well as brand image parameters such as brand awareness, brand understanding, brand association and loyalty of the stakeholders, perceived quality and regard for the NPO, etc. The metrics also establishes the link between the two through performance parameters such as quality of processes, beneficiaries served, branding and promotional measures by the NPO, adequacy of resources to achieve social mission and meet the needs of the stakeholders amongst others. The current study would not only be a conceptual contribution to NPO branding but also broaden the concept of branding in a non-profit context considering it much more than a fundraising tool, reinforcing the brand identity and simultaneously contributing to the achievement of social mission.

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Appendix

- Group 1: NPO A
- Group 2: NPO B
- Group 3: NPO C
- Group 4: NPO D
- Group 5: NPO E

Table AI.
Kruskal–Wallis test
ranks – all NPOs

Group	Ranks <i>n</i>	Mean rank
1.00	125	348.99
2.00	125	362.31
3.00	125	294.32
4.00	125	300.90
5.00	125	258.48
Total	625	

Branding
effectiveness
measurement

Test statistics ^{a,b}	Rank
χ^2	27.594
df	4
Asymp. Sig.	0.000
Monte Carlo Sig.	
Sig.	0.000
95% confidence interval	Lower bound 0.000
	Upper bound 0.000

Notes: ^aKruskal–Wallis test statistics; ^bgrouping variable; ^cbased on 10,000 sampled tables with starting seed 926214481

Table AII.
Kruskal–Wallis test
statistics – all NPOs

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